



OVERTIME and NIGHT DIFFERENTIAL

POLICY 3-17

INTRODUCTION:

In our line of work, it cannot be helped but to have some employees work beyond eight hours a day or on his rest day or on a holiday. This is specially true during typhoon seasons when damaged lines have to be repaired to restore the service soonest.

In fairness to the employees performing such overtime work and in compliance with the Labor Code, the Board adopts the following policies.

POLICIES:

1. For the purpose of optimizing our service to the community, employees may be required to work beyond eight (8) hours a day or on their rest days or on holidays.

2. Employees performing overtime work on his regular working days shall be paid an additional compensation equivalent to his regular wage plus TWENTY-FIVE (25%) percent thereof. *reg = 25%*

3. When an employee is permitted to work on his scheduled rest day, he shall be paid an additional compensation of THIRTY-FIVE (35%) percent of the regular. *Rest day = 35%*

An employee shall be entitled to such additional compensation for work performed on Sundays only when it is his established rest day.

4. Work performed on any legal holiday shall be paid an additional compensation of THIRTY-FIVE (35%) percent of the regular wage of the employee. *legal (green) = 35%*

5. When such holiday work falls on the employee's scheduled rest day, he shall be entitled to an additional compensation of FIFTY (50%) percent of his regular wage. *green / rest 50%*

6. Work performed beyond eight (8) hours a day on a holiday or rest day shall be paid an additional compensation equivalent to the rate for the first eight (8) hours on a holiday or rest day plus at least THIRTY (30%) percent thereof. *beyond 8 hrs = 30%*

7. NIGHT DIFFERENTIAL – each employee shall be paid a night shift differential of not less than TEN (10%) percent of his regular wage for each hour of work performed between 10 o'clock in the evening and 6 o'clock in the morning.

IMPLEMENTATION:

The General Manager shall be responsible for implementing this policy.



OVERTIME PAY, PREMIUM PAY, NIGHT SHIFT DIFFERENTIAL AND HOLIDAY PAY

POLICY 3-17, as amended

PURPOSE:

To establish a policy on the computation of Overtime Pay, Premium Pay and Night Shift Differential of employees who rendered authorized service beyond their regular working time/day and at service rendered at night. This is also to establish a policy on unworked Regular and/or Special Holiday.

POLICY:

In addition to the employee's regular basic hourly rate, the Cooperative shall provide for overtime pay, premium pay and night shift differential for authorized service rendered beyond regular working time/day and at service rendered at night.

DEFINITION OF TERMS:

1. NORMAL HOURS OF WORK of employees is eight (8) hours per day.
2. WORK DAY means 24 consecutive-hour period which commences from the time the employee regularly starts to work.
3. OVERTIME is work performed beyond eight (8) hours a day.
4. OVERTIME PAY is defined as the additional pay for authorized work done beyond eight (8) hours work time within the day.
5. PREMIUM PAY is defined as pay for authorized work done within eight (8) hours work time within the day.
6. HOLIDAY or REST DAY WORK PREMIUM PAY is defined as additional pay for authorized work done on a non-working holiday or a rest day.
7. NIGHT SHIFT DIFFERENTIAL is additional compensation of ten percent (10%) of an employee's regular wage for each hour of work performed between 6:00 P.M. to 6:00 A.M.

IMPLEMENTING GUIDELINES

1. Coverage. All probationary and regular rank and file employees, contractual and project employees.
2. Payment of overtime and premium pay and shall be made only if such work was authorized in by the immediate supervisor and upon accomplishment and submission by the concerned employee of the required overtime forms (Application for overtime/Authorization/Certification and Accomplishment Report).
3. No request or application for overtime pay, premium pay or night shift differential for work rendered for less than thirty (30) minutes shall be granted in excess of eight hours.
4. Overtime in excess of eight (8) hours per regular working day shall not be allowed. It should only be allowed in extremely necessary cases and with the permission of the Department Manager.
5. Undertime on any particular day shall not be offset by overtime work either on the same day or any other day.
6. An employee may be required to perform work in the following cases as provided for in Rule III, Sec. 6 of the Philippine Labor Code.
7. The following formula shall be used to compute for overtime pay, premium pay and night shift differential:
 - a. **OVERTIME-** Authorized work rendered in excess or beyond eight (8) hours a day.

$$\text{Overtime Premium Pay} = (\text{Basic Hourly Rate}) \times (\text{Hours OT worked}) \times (\text{Applicable rate per table below})$$

$$\text{Basic Hourly Rate} = \frac{(\text{Monthly Basic Pay} \times 12 \text{ months})}{8 \text{ hours}}$$



OVERTIME PAY, PREMIUM PAY, NIGHT SHIFT DIFFERENTIAL AND HOLIDAY PAY

POLICY 3-17, as amended

Regular Work Day	125%
Rest Day	
Special Holiday	130% of 130% = 169%
Non-working Holiday	
Special Holiday, Non-working Holiday also Rest Day	130% of 150% = 195%
Regular Holiday	130% of 200% = 260%
Regular Holiday also Rest Day	130% of 260% = 338%

- b. HOLIDAY or REST DAY WORK **PREMIUM PAY** - Authorized work rendered within eight (8) hours in a day.

Premium Pay = (Basic Hourly Rate) x (Hours worked) x (Applicable rate per table below)

Basic Hourly Rate = $\frac{\text{Monthly Basic Pay} \times 12 \text{ months}}{8 \text{ hours}}$

Rest Day	
Special Holiday	30%
Non-working Holiday	
Special Holiday, Non-working Holiday also Rest Day	50%
Regular Holiday	100%
Regular Holiday also Rest Day	160%

- c. **NIGHT SHIFT DIFFERENTIAL** – authorized work performed between 6:00 P.M. to 6:00 A.M.

Night Shift Differential = (Basic Hourly Rate) x (Hours worked) x (Applicable percentage per table below)

Basic Hourly Rate = $\frac{\text{Monthly Basic Pay} \times 12 \text{ months}}{8 \text{ Hours}}$

- c.1. Rate of Night Shift Differential where Night Shift work is a **REGULAR (within 8 hours)** work:

Regular Work Day	110% (plus 10%)
Rest Day	
Special Holiday	110% of 130% = 143% (plus 43%)
Non-working Holiday	
Special Holiday, Non-working Holiday also Rest Day	110% of 150% = 165% (plus 65%)
Regular Holiday	110% of 200% = 220% (plus 110%)
Regular Holiday also Rest Day	110% of 260% = 286% (plus 186%)

- c.2. Rate of Night Shift Differential where Night Shift work is **OVERTIME (beyond 8 hours)** work:

Regular Work Day	110% of 25% = 137.5% (plus 37.5%)
Rest Day	
Special Holiday	169% + 10% of 169% = 185.9% (plus 85.9%)
Non-Working Holiday	
Special Holiday, Non-working Holiday also Rest Day	195% + 10% of 195% = 214.5% (plus 114.5%)
Regular Holiday	260% + 10% of 260% = 286% (plus 186%)
Regular Holiday also Rest Day	338% + 10% of 338% = 371.8% (plus 271.8%)



OVERTIME PAY, PREMIUM PAY, NIGHT SHIFT DIFFERENTIAL AND HOLIDAY PAY

POLICY 3-17, as amended

8. HOLIDAY PAY

- a. *Coverage.* All probationary, regular, contractual and project employees.
- b. Management shall pay the employees their daily basic wage for a regular holiday and special holiday that is unworked.
- c. To be entitled to the Holiday pay, the employee must be present or is on leave of absence with pay on the work day immediately preceding the holiday. Employees who are on leave of absence without pay on the day immediately preceding the regular or special holiday will not be paid the required holiday pay if they have not worked on such regular or special holiday.
- d. Where the day immediately preceding the holiday is a non-working day in or the scheduled rest day of the employee, he shall be deemed to be on leave of absence on that day, in which case he shall be entitled to the holiday pay if he worked on the day immediately preceding the non-working day or rest day.

(i.e, Tuesday- rest day/non-working day, Wednesday-holiday)
Employee must be present Monday to be entitled)

- e. In cases of consecutive holidays, the employee is entitled to the holiday pay for the said holidays if he is present on the day immediately preceding the 1st holiday.

If he is absent or on leave of absence without pay on the day immediately preceding the 1st holiday, the employee will not be entitled to the 1st holiday. But he will be entitled to the 2nd or succeeding holiday if he reports for work on the 1st holiday.

(i.e, Maundy Thursday and Good Friday)

- i. to be entitled to both holidays –must be present or on leave of absence with pay on Wednesday
 - ii. if absent or on leave of absence without pay on Wednesday – not entitled to the holiday pay for both holidays
 - iii. to be entitled for the holiday pay for Good Friday, the employee must report for work on Maundy Thursday.
- f. Considering the nature of the Cooperative's business, employees who were schedule to render regular duty/shift during Holidays are required to:
 - i. Report for work and will be compensated accordingly.
 - ii. File an application for leave of absence (LOA) three (3) days before the Holiday, in case he cannot report on the said Holiday. In case of emergency and the employee cannot report for duty on the said Holiday, the employee is required to inform his supervisor/department manager immediately. In both cases, approval shall depend on the discretion of the Supervisor/Department Manager.

Approved LOA shall not be deducted from the leave credits of the concerned employee. Employee who failed to report for duty despite disapproval of the LOA shall be held liable base on the BENECO Employees' Code of Ethics and Discipline.

This policy shall amend all inconsistent provisions with other issued guidelines and procedures relative to overtime pay, premium pay, night shift differential and holiday pay.



OVERTIME PAY, PREMIUM PAY, NIGHT SHIFT DIFFERENTIAL AND HOLIDAY PAY

POLICY 3-17, as amended

IMPLEMENTATION:

The General Manager is responsible in the implementation of this policy.

EFFECTIVITY:

This policy shall take effect upon the approval by the Board of Directors.

(SGD) JOSEPHINE TULING
Secretary

(SGD) PETER B. BUSAING
President

Approved: Board Resolution No.114-2015 Dated: September 22, 2015



OVERTIME PAY, PREMIUM PAY, NIGHT SHIFT DIFFERENTIAL AND HOLIDAY PAY

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